

Yemen and the Houthis

Civil War, Red Sea Campaign, and the Iran-Backed Threat to Global Shipping

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Executive Summary

Yemen's civil war — the world's worst humanitarian crisis by multiple United Nations measures — has undergone a strategic metamorphosis since November 2023. What began in 2014-2015 as a domestic insurgency by the Houthi movement (Ansar Allah) against a transitional government, escalated by March 2015 into a Saudi-led coalition military intervention, has evolved into a conflict with genuinely global economic consequences. The UN estimated 377,000 deaths by the end of 2021, with approximately 60% attributable to indirect causes including famine and disease rather than direct combat. The designation of Yemen as the world's worst humanitarian crisis has been sustained across multiple years by UN agencies including OCHA and UNICEF.

The Houthi maritime campaign launched in November 2023 — framed by Ansar Allah as solidarity with Gaza but rooted in strategic Iranian logic — has disrupted one of the world's most critical chokepoints. More than 150 ships were attacked or targeted in the Red Sea and Gulf of Aden between November 2023 and August 2024. Commercial traffic through the Bab el-Mandeb Strait fell by more than 50%, routing global container shipping on detours of 7,000 to 15,000 additional nautical miles around the Cape of Good Hope. Suez Canal revenues collapsed from \$9.4 billion in 2023 to approximately \$4.8 billion in 2024, a decline of 49%. The US-UK Operation Prosperity Guardian, initiated with airstrikes on January 12, 2024, failed to suppress Houthi maritime operations, demonstrating the limits of conventional military deterrence against an adversary with deep ideological commitment, indigenous terrain advantage, and reliable external resupply.

Part I — The Yemen Conflict Origins: A State's Collapse

The Republic of Yemen, formed through the 1990 unification of the Yemen Arab Republic and the People's Democratic Republic of Yemen, inherited structural contradictions that made political stability extraordinarily difficult. President Ali Abdullah Saleh, who had governed North Yemen since 1978, described his domestic political management as "dancing on the heads of snakes" — a characterisation that proved prophetic. The 2011 Arab Spring generated massive street protests demanding Saleh's removal, and after months of pressure — including a military fracture and Gulf Cooperation Council mediation — Saleh transferred power to his Vice President Abd Rabbuh Mansur Hadi in 2012 under a GCC-brokered transition agreement.

The Houthi movement — formally Ansar Allah, drawn from the Zaidi Shia Muslim community concentrated in the mountainous Saada Province of northwest Yemen — had fought six insurgencies against the Saleh government between 2004 and 2010. Their rallying slogan — "God is great, Death to

America, Death to Israel, Curse the Jews, Victory to Islam" — signalled ideological alignment with Iranian revolutionary theology rather than purely domestic grievance. The Houthi-Saleh tactical alliance proved decisive: Houthi forces, with Saleh loyalists opening gates, seized the capital Sanaa on September 21, 2014, placing government institutions under Houthi control and rendering the Hadi government nominally functional but operationally hollowed .

The Saudi-led coalition's military intervention — Operation Decisive Storm, launched March 26, 2015 — brought together Saudi Arabia (commanding the air campaign), UAE (ground forces), Egypt (naval forces), and Sudan (ground troops) under a US-approved operational framework. The UN Security Council adopted Resolution 2216 imposing an arms embargo on the Houthis . The alliance proved internally contradictory from early stages: UAE's interests in southern Yemen, particularly around Aden and the Bab el-Mandeb, increasingly diverged from Saudi priorities in the north. Eight separate peace initiatives failed between 2015 and 2022. A UN-brokered ceasefire in April 2022, repeatedly renewed informally, reduced but did not halt violence . The 2023 Saudi Arabia-Iran rapprochement, brokered by China in March of that year, fundamentally altered Saudi Arabia's strategic calculus — Riyadh's willingness to sustain indefinite military engagement in Yemen diminished as the diplomatic framework shifted.

The decisive transformation in the conflict's character came with the Houthi assassination of former President Saleh on December 4, 2017, after he attempted to switch his alliance back toward the Saudi coalition. This eliminated the Houthis' most significant internal rival and consolidated their military and administrative control over northern Yemen's population — estimated at approximately 70% of Yemen's total .

Part II — Humanitarian Catastrophe: The Cost of War

The humanitarian arithmetic of Yemen's conflict is staggering by any international comparison. As of 2023, OCHA estimated 21.6 million Yemenis — approximately two-thirds of the country's population — required humanitarian assistance . Of these, 17.4 million were classified as food insecure. UNICEF documented 3.3 million children suffering from acute malnutrition in 2023, with figures fluctuating according to conflict intensity and humanitarian access . The UNDP's total casualty estimate of 377,000 deaths by end of 2021 — 60% from indirect causes including disease and starvation, 40% from direct conflict — represents a mortality burden comparable to some of the twentieth century's major armed conflicts .

Famine conditions or near-famine conditions have been declared or assessed in Yemen in 2016, 2018, and 2022, making Yemen one of the few countries to experience repeated acute food crises within a single decade . The cholera epidemic of 2016 to 2020, driven by the collapse of water and sanitation infrastructure, produced more than 2.5 million confirmed or suspected cases and over 3,800 deaths — the largest cholera outbreak in recorded history .

The Hudaydah port has served as the critical humanitarian chokepoint throughout the conflict. Over 70% of Yemen's food and fuel imports transit through Hudaydah, which has been subject to Saudi blockade actions, most severely in 2017-2018 when a temporary full blockade was imposed following a Houthi missile fired toward Riyadh International Airport . International pressure forced the suspension of the full blockade, but inspection-related delays continued to restrict humanitarian supply. Saudi Arabia's pledge of \$500 million in humanitarian assistance to Yemen — made during periods when Saudi coalition airstrikes were simultaneously destroying agricultural infrastructure, bridges, and water treatment facilities — illustrated the contradictory logic of a conflict where the primary parties both inflict and fund relief of humanitarian suffering .

US policy oscillated significantly across administrations. The Biden administration suspended offensive weapons sales to Saudi Arabia in January 2021, resumed the sales in August 2021, and the US Senate voted in 2019 to end US support for Saudi military operations — a resolution vetoed by President Trump .

Part III — The Red Sea Campaign: Maritime Warfare as Grand Strategy

The Houthi maritime campaign began on November 19, 2023, with the seizure of the *Galaxy Leader*, a car carrier with reported links to an Israeli-connected beneficial owner, in the Red Sea . Ansar Allah framed the campaign in explicitly Gaza-linked terms — "solidarity with the Palestinian people" — and announced it would target ships heading to Israeli ports. The stated targeting criteria expanded progressively: first Israeli-linked vessels, then US and UK-linked shipping, then effectively all commercial shipping operating in the Red Sea corridor.

The weapons deployed represent the outer envelope of Iran's proxy military transfer programme. Houthi forces used anti-ship ballistic missiles — variants of the Iranian *Khalij Fars*, which Iran claims hypersonic terminal-phase capability — alongside subsonic cruise missiles (variants of the Iranian *Al-Mandab* design) and loitering munitions derived from the Iranian *Shahed* drone family . Between November 2023 and August 2024, more than 150 ships were attacked, approached, or targeted, and the cargo vessel *MV Rubymar* was sunk by Houthi munitions in February 2024 — the first merchant vessel sunk in a military attack in the Red Sea since the 1970s .

The commercial shipping response was immediate and consequential. In January 2024, Maersk, Hapag-Lloyd, CMA CGM, MSC, and effectively all major container lines announced the suspension of Red Sea transits and diversion of vessels around the Cape of Good Hope, adding between 7,000 and 15,000 nautical miles and 10 to 14 additional days per voyage . Suez Canal revenue collapsed from \$9.4 billion in 2023 to approximately \$4.8 billion in 2024, a decline of 49% . JP Morgan analysts estimated the additional global shipping cost burden at \$2 to \$3 billion per week . War risk insurance premiums for Red Sea transits rose from near-zero pre-crisis to approximately \$1 million per vessel crossing . BCG estimated the impact on European consumer goods prices at 0.5 to 1.5% .

The US-led Operation Prosperity Guardian — a multinational naval force including the UK, Bahrain, Canada, and Australia, with notably few Arab state participants — deployed carrier strike groups to the region. The *USS Dwight D. Eisenhower* carrier strike group, followed by *USS Gerald Ford* and *USS Theodore Roosevelt* rotations, conducted sustained air operations against Houthi launch sites beginning with the first US-UK strike on January 12, 2024 . Despite striking more than 60 Houthi targets in the initial phase, Houthi maritime operations continued. The strategic logic is straightforward: the Houthis absorb strikes on fixed installations while maintaining mobile launcher capability and benefiting from Iranian resupply of munitions that costs a fraction of the US munitions expended to counter them.

Part IV — The Iranian Weapons Pipeline: Proxy Investment at Scale

The Houthi military capability is fundamentally a product of a decade of Iranian investment routed through a logistical pipeline that exploits the regulatory gaps of the Arabian Sea and the Yemeni coastline. The established supply route moves materiel from Iranian military production facilities through Oman coastal transfer points to small dhow vessels that ferry weapons across the Gulf of Aden and around the Yemeni coast, exploiting the difficulty of maritime interdiction across vast open water .

The UN Security Council Panel of Experts documented in its 2022 report the presence in Yemen of Iranian ballistic missiles of the *Borkan* and *Qiam* series, cruise missiles of the *Quds-1* type, UAVs including *Shahed*-series and *Qasef* variants, and anti-ship ballistic missiles of the *Khalij Fars* type . Iran maintains a standard position of denial regarding weapons transfers, a pattern consistent across its entire

proxy network. US Treasury actions have included seizures of oil cargoes aboard vessels identified as funding Houthi procurement operations .

The IRGC Quds Force plays a direct operational role that extends beyond weapons supply: providing targeting intelligence, training in complex weapons system operation, and strategic coordination that transforms the Houthis from a conventional tribal militia into a force capable of executing sophisticated maritime interdiction operations. Houthi pre-war ballistic missile inventory was estimated at between 2,000 and 3,000 rounds , significantly depleted through battlefield use and US strikes but continuously supplemented by Iranian resupply. Small-scale Houthi drone production — with Iranian technical assistance — has also been documented in seized factory evidence .

Part V — Strategic Implications: The Chokepoint as Weapon

The Bab el-Mandeb Strait carries traffic that defines it as one of three most strategically critical maritime chokepoints on earth alongside the Strait of Hormuz and the Strait of Malacca. Pre-crisis traffic flows included approximately 3.6 million barrels per day of oil, 3.3 million barrels per day of LNG, and 9.2 million twenty-foot equivalent units of container cargo annually . The Strait represents the gateway for approximately 12% of global trade and 30% of global container shipping .

The Yemen end-game trajectory as of August 2026 involves Saudi-Houthi negotiations facilitated by Oman that have effectively accepted Houthi administrative control over northern Yemen — a de facto partition of the country. Houthi control extends to approximately 70% of Yemen's population, though not to the Marib oil fields, which remain contested and represent the primary source of revenue for the internationally recognised government . The Red Sea campaign has operated with autonomous logic from the Gaza conflict: Houthi leadership stated clearly it would continue maritime operations until the Gaza siege was lifted, and continued even after the January 2025 ceasefire in Gaza demonstrated that the campaign has become self-sustaining as a tool of Houthi political agency and Iranian regional strategy rather than purely a function of Gaza conflict dynamics .

The Houthis have thus achieved what Iranian strategic planners have long sought in the region's proxy network: a force capable of imposing meaningful costs on the global economy and on US naval operations, with sufficient ideological commitment and territorial rootedness that military suppression is prohibitively costly. The \$2-3 billion per week in additional global shipping costs represents an indirect economic sanction applied by a non-state actor operating from one of the world's poorest countries against the entire global trading system.

Conclusion

The Houthi movement has been transformed by a decade of Iranian investment and a decade of conflict from a northern Yemeni tribal insurgency into a regional military power capable of disrupting global trade flows through one of the world's most critical maritime chokepoints. This transformation represents Iran's most strategically successful proxy investment — a capability that has materially altered the economics of global shipping, demonstrated the limits of US naval deterrence against ideologically committed non-state actors, and given Tehran an asymmetric lever over global commerce. Yemen's humanitarian catastrophe — 377,000 dead, 21.6 million requiring humanitarian assistance — is the foundational reality upon which this strategic transformation has occurred, and its resolution remains structurally distant as long as Houthi control of northern Yemen and the weapons pipeline from Tehran remain intact.

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